

Paradiem

The Morning Brief

JULY 2, 2026

Chip Give-Back

Chip cohort reportedly surrendered most of the Mon-Tue reversal in a single session as Comm Svcs and Financials absorbed the rotation ahead of the pulled-forward NFP print.

S&P 500 (WED CLOSE)	NASDAQ (WED CLOSE)	WTI (USO)	IBIT	FEAR & GREED
\$745.76 · ↓0.14%	\$725.17 · ↓1.52%	\$103.27 · ↓2.98%	\$34.00 · ↑2.13%	19 · Extreme Fear (Crypto; CNN fallback · live CNN ~32 Fear per public feed)

SECTION 01

Markets — Chip Cohort Reportedly Surrenders Most of the Mon-Tue Reversal: LRCX ↓9.7%, MRVL ↓8.7%, TSM ↓7.0%, AMD ↓6.9%, CAT ↓6.9% as Comm Svcs and Financials Absorb the Rotation Into the Pulled-Forward NFP Print

WEDNESDAY’S CASH TAPE REPORTEDLY COMPRESSED THE TWO-SESSION CHIP-COHORT RALLY INTO A SINGLE-DAY GIVE-BACK, WITH THE S&P 500 PROXY CLOSING AT \$745.76 (↓0.14%), THE DOW PROXY FLAT AT \$522.40, AND THE NASDAQ PROXY AT \$725.17 (↓1.52%) PER THE DATA DROP — PER BLOOMBERG AND THESTREET COVERAGE, THE SESSION REPORTEDLY REGISTERED A CHIP-SPECIFIC RESET RATHER THAN A BROAD DE-RISKING, WITH THE FCI BOTTOM 5 MOVERS CONCENTRATED ENTIRELY IN THE AI-INFRASTRUCTURE COMPLEX: LRCX \$391.26 (↓9.71%), MRVL \$272.05 (↓8.67%), HUT \$105.79 (↓8.36%), TSM \$444.23 (↓6.98%), AND CAT \$991.41 (↓6.90%) REVERSING MOST OF THE TWO-SESSION RECOVERY FLAGGED IN THE PRIOR BRIEF SERIES

For FCI’s framework, the Wednesday tape reportedly reflected profit-taking into elevated first-half chip-cohort gains rather than a thesis break — per CNBC coverage cited in the headlines, Micron reportedly gave back more than 10% intraday even as its June quarter had reportedly delivered record revenue of \$41.5B per the June 24 release. Sector rotation reportedly flipped cleanly out of Tech (XLK ↓2.57%), Industrials (XLI ↓1.01%), Utilities (XLU ↓1.26%), and Energy (XLE ↓0.56%) and into Comm Svcs (XLC ↑2.44%), Financials (XLF ↑2.18%), and Discretionary (XLY ↑0.69%) per the data drop. Per Bloomberg coverage cited in the search feed, Meta reportedly captured the Comm Svcs bid on a disclosure that it is building a cloud unit — reportedly branded Meta Compute — to resell excess AI computing power, with shares reportedly rising more than 10% on the day. For the AI-power sleeve, VST closed at \$153.16 (↓3.45% per the data drop) reportedly giving back part of the Tuesday absorption as the mega-cap cloud-buildout composition rotated toward hyperscaler self-supply. TLT closed at \$85.52 (↓1.04% per the data drop), reportedly extending the long-end back-up as the risk-on Financials tape and the reported Warsh Sintra emphasis on inflation reset the rate curve.

S&P 500 (WED CLOSE)	\$745.76 · ↓0.14% · intraday H \$749.43 / L \$742.38
NASDAQ (WED CLOSE)	\$725.17 · ↓1.52% · chip-specific give-back
DOW (WED CLOSE)	\$522.40 · flat · reportedly snapped record stretch per Yahoo
UVXY / TLT	\$25.19 ↑1.21% / \$85.52 ↓1.04% · vol firmed, long end back-up
FCI TOP 5 MOVERS	COIN ↑8.93% · HOOD ↑8.35% · ADP ↑5.26% · FTNT ↑3.49% · VLO ↑3.46%
FCI BOTTOM 5 MOVERS	LRCX ↓9.71% · MRVL ↓8.67% · HUT ↓8.36% · TSM ↓6.98% · CAT ↓6.90%
ISM MANUFACTURING (JUN)	Reportedly 53.3 per PRNewswire/ISM · 20th mo expansion · below May 54.0
CARSON'S SPY SUPPORT	\$645.80 · active · well-removed from Wed intraday low \$742.38

FOR THE INVESTMENT COMMITTEE, THE WEDNESDAY TOP-DECILE FCI TAPE REPORTEDLY CONCENTRATED IN THE CRYPTO-ADJACENT, FINANCIALS, AND REFINING COMPOSITION — COIN (\$159.24 ↑8.93%), HOOD (\$108.65 ↑8.35%), ADP (\$235.73 ↑5.26%), FTNT (\$158.98 ↑3.49%), AND VLO (\$269.44 ↑3.46%) PER THE DATA DROP — THE

DIGITAL SLEEVE REPORTEDLY RECOVERED WITH IBIT AT \$34.00 (↑2.13%) AND ETHA AT \$12.19 (↑2.52%), EVEN AS THE DATA DROP SENTIMENT LINE CONTINUES TO PRINT THE CRYPTO FEAR & GREED AT 19 (EXTREME FEAR) WITH THE LIVE CNN STOCK-MARKET READING REPORTEDLY NEAR 32 (FEAR) PER PUBLIC FEEDS

Per Yahoo coverage cited in the data drop headlines, the Wednesday ADP move to \$235.73 (↑5.26% per the data drop) reportedly aligned with a Financials-late-afternoon lift into the reported Warsh Sintra remarks and post-labor-data flow, per the Yahoo “Dow Snaps Record Stretch Following Labor Data, Warsh Remarks” headline in the data drop. Per FXStreet and coingape coverage cited in the search feed, Chair Warsh reportedly declined to signal what the Fed will do at its next meeting but reportedly emphasized that inflation remains too elevated — a hawkish anchor that reportedly reset front-end pricing into the pulled-forward NFP. Per the data drop earnings line, MSM reportedly beat with \$1.43 vs. \$1.27 est. and UNF reportedly beat with \$2.17 vs. \$1.93 est. among yesterday’s prints; per Benzinga, Scotiabank’s reported upgrade of NTR to Sector Outperform with a \$80 target reportedly carried through as NTR closed at \$63.57 (↑0.98% per the data drop). **Avoid Erosion.**

The Wednesday chip give-back reportedly compressed the Mon-Tue reversal into a single-session profit-take rather than a leadership handoff, with Meta’s cloud disclosure absorbing the Comm Svcs flow and the pulled-forward NFP carrying the next decision node. Research Reveals Opportunities.

Geopolitics — Doha Talks Reportedly Concluded With Qatari-Framed Constructive Read as Oil Fell a Third Consecutive Session, With Hormuz Traffic Reportedly Still Well Below Pre-War Baseline

PER REUTERS, CNN, AND RFERL COVERAGE OF THE DOHA ROUND, U.S. AND IRANIAN NEGOTIATORS REPORTEDLY CONCLUDED INDIRECT TECHNICAL TALKS THROUGH QATARI AND PAKISTANI MEDIATORS — PER A QATARI STATEMENT CITED VIA CNN AND RFERL, THE SESSION REPORTEDLY MADE CONSTRUCTIVE PROGRESS ON ISSUES TIED TO THE ISLAMABAD MOU FRAMEWORK, WITH BOTH SIDES REPORTEDLY AGREEING TO CONTINUE DISCUSSIONS; PER NATIONAL SECURITY NEWS COVERAGE, IRAN REPORTEDLY RULED OUT DIRECT TALKS WHILE CONTINUING THE MEDIATOR TRACK; PER CNN COVERAGE OF MARINETRAFFIC DATA, APPROXIMATELY 35 COMMERCIAL VESSELS REPORTEDLY TRANSITED THE STRAIT OF HORMUZ IN THE PAST 24 HOURS, REPORTEDLY WELL BELOW THE PRE-WAR BASELINE PER CNN

For FCI's framework, the Wednesday-to-Thursday cadence reportedly recasts the Doha round from a probability of framework rupture into a mediator-facilitated continuation, though the Hormuz throughput reportedly remains materially below the pre-conflict baseline per CNN reporting — a divergence that reportedly still supports a residual security premium in tanker economics even as the front-month crude tape gives back. Per Reuters coverage cited in the data drop headlines, oil reportedly fell for a third straight session as Doha talks concluded, with USO closing at \$103.27 (↓2.98%) and BNO at \$39.41 (↓3.15%) per the data drop — per tradingeconomics coverage cited in the search feed, WTI reportedly touched its lowest level since late February on the Doha conclusion and reported Iranian export surge past 40 million barrels following removal of the U.S. naval blockade. For the FCI refining bench, VLO closed at \$269.44 (↑3.46% per the data drop) reportedly capturing the crack-spread bid as upstream (DVN ↓2.59% to \$40.25, CVX flat at \$165.69, OKE ↓1.39% to \$85.73 per the data drop) reportedly gave back on the lower crude tape. **The physical world matters.**

PER REUTERS AND DATA DROP HEADLINE COVERAGE, DEFENSE STARTUPS REPORTEDLY CONTINUED TO DRAW COMPONENT SUPPLY FROM THE AUTO AND FRACKING SECTORS TO ACCELERATE WEAPONS OUTPUT — LMT CLOSED WEDNESDAY AT \$521.82 (↑2.43% PER THE DATA DROP) AND GD AT \$362.86 (↑2.43%), REPORTEDLY FIRING EVEN AS THE BROADER INDUSTRIALS SLEEVE SOFTENED (XLI ↓1.01%) — PER FINTEL COVERAGE CITED IN THE DATA DROP, CITIGROUP REPORTEDLY UPGRADED LMT, UNDERSCORING THE MULTIYEAR PROCUREMENT PIPELINE REFERENCED ACROSS THE PRIOR BRIEF SERIES

For FCI's defense sleeve, the Wednesday firming in LMT and GD reportedly diverged cleanly from the industrials-cyclical give-back (CAT ↓6.90% to \$991.41 per the data drop) and reportedly aligned with the Reuters coverage of supply-chain reallocation into weapons output. For the digital sleeve, the Wednesday recovery in IBIT (↑2.13%) and ETHA (↑2.52%) reportedly extended into a broader crypto-adjacent bid, with COIN closing at \$159.24 (↑8.93%) and HOOD at \$108.65 (↑8.35%) per the data drop — per Benzinga coverage cited in the data drop, Bitcoin cratered approximately 20% in June with ETFs bleeding roughly \$4.5B, a baseline against which the Wednesday session appears an early relief bid rather than a

directional turn. Per Yahoo coverage cited in the data drop, MARA and HUT reportedly diverged from the underlying ETF tape (MARA ↓3.74% to \$13.37, HUT ↓8.36% to \$105.79 per the data drop) reportedly reflecting mining-cost sensitivity rather than the ETF flow signal. **Simplicity Over Complexity.**

DOHA TALKS **Reportedly concluded constructively per Qatar via CNN/RFERL · continuation reportedly agreed**

HORMUZ TRAFFIC (24H) **Reportedly ~35 vessels · reportedly well below pre-war baseline per CNN**

WTI / BRENT (WED) **USO \$103.27 ↓2.98% · BNO \$39.41 ↓3.15% · 3rd straight session lower per Reuters**

VLO · DVN (WED) **VLO \$269.44 ↑3.46% · DVN \$40.25 ↓2.59% · crack bid, upstream soft**

LMT · GD (WED) **\$521.82 (↑2.43%) · \$362.86 (↑2.43%) · sleeve firmed vs XLI ↓1.01%**

GOLD (GLD) **\$370.60 · ↑0.60% · safe-haven bid absorbed even with crude down**

On Our Radar

1. June Nonfarm Payrolls Pulled Forward to Thursday 8:30 AM ET — Consensus Reportedly Near 100-115K vs May 172K, Unemployment 4.3%, With Goldman Reportedly Flagging a Potential 40K World Cup Boost. Per the BLS release schedule cited via Kiplinger and Investing.com, the June employment situation report is reportedly scheduled Thursday July 2 at 8:30 AM ET, pulled forward ahead of the Friday July 3 market closure. Per FactSet, consensus is reportedly near 100,000; per Bank of America and JP Morgan cited via TradingKey, respective forecasts are reportedly 110,000 and 125,000. Per CNBC coverage cited in the data drop, Goldman reportedly estimates the World Cup could reportedly boost the June print by approximately 40,000 — a hospitality overlay that reportedly biases the top-line print without materially changing the underlying trend. For FCI's rate-sensitive sleeves, the Wednesday TLT move (\$85.52 ↓1.04%) and the Financials-late-day lift (ADP ↑5.26% per the data drop) reportedly reflect a pre-print risk-on bias. *Research Reveals Opportunities.*

2. Warsh Sintra Debut Reportedly Hawkish — Chair Reportedly Frames Inflation as Elevated, Recasting the Front-End Curve Ahead of the Late-July FOMC. Per US News, CNBC, coingape, and Bloomberg Live Blog coverage of the ECB Forum on Central Banking in Sintra, Chair Kevin Warsh reportedly declined to signal what the Fed will do at its next meeting but reportedly emphasized that inflation remains too elevated even as the committee has become reportedly more open-minded on AI-driven productivity. Per the coverage cited in the search feed, the appearance reportedly served as a hawkish anchor rather than a policy pivot — consistent with the June FOMC dot plot referenced in the prior brief series where a plurality of officials reportedly saw at least one hike this year per the Fed materials. For FCI's framework, the Wednesday Comm Svcs and Financials bid alongside a chip give-back reportedly reads as a rotation into rate-tolerant composition rather than a de-risking; the Thursday NFP print is reportedly the next hard-data reset for the September rate path.

3. Meta Reportedly Building “Meta Compute” Cloud Business — Shares Reportedly Up ~10%, Reportedly Cross-Reads to Hyperscaler Power and Chip-Cohort Composition. Per Bloomberg, Advisor Perspectives, and Global Banking & Finance coverage cited in the search feed, Meta reportedly disclosed plans to resell excess AI computing capacity through a new cloud unit reportedly branded Meta Compute, with hosted models reportedly including Muse Spark. Per the coverage, Meta is reportedly on pace to spend as much as \$145B on AI infrastructure in 2026, a component of Big Tech's reported ~\$700B outlay. Meta is not an FCI position, but the disclosure reportedly cross-reads to the AI-power sleeve (VST ↓3.45% to \$153.16 per the data drop, reportedly reflecting the hyperscaler-self-supply overlay) and the chip cohort (LRCX ↓9.71%, TSM ↓6.98%, MRVL ↓8.67% per the data drop, reportedly consistent with a rotation away from single-name AI-infrastructure exposure into distributed compute buyers). *Think Like an Owner.*

4. Independence Day Friday July 3 Closure — NYSE and Bond Markets Reportedly Closed, Compressing the Week Into a Thursday Print-and-Fade Window. Per the NYSE calendar and CME Group holiday schedule cited via the search feed, U.S. equity and bond markets are reportedly closed Friday July 3 in observance of the Independence Day holiday. The compression reportedly concentrates the June NFP reaction, the Doha follow-through, and any Warsh follow-on commentary into a single Thursday session, with quarter-end and month-open positioning reportedly overlaid on light late-week liquidity. Per Reuters cited in the data drop headlines, initial jobless claims (typically Thursday release) reportedly land alongside the pulled-forward NFP in a compressed labor-data window. For FCI's framework, the shortened week reportedly biases position management toward discipline over impulse into the long weekend. **Simplicity Over Complexity.**

5. CAT ↓6.9% on Reported Michael Burry Short and Valuation Skepticism; Digital Sleeve Reportedly Firms Against June ETF Outflows of ~\$4.5B per Benzinga. Per Yahoo coverage cited in the data drop, CAT reportedly faces a reported Michael Burry short with valuation questions reportedly growing; CAT closed at \$991.41 (↓6.90%) after Tuesday's \$1,064.90 (↑3.07%) referenced in the prior brief. The CAT reversal reportedly warrants monitoring alongside the ISM Manufacturing PMI at 53.3 in June per PRNewswire/ISM (down 0.7 pts from May's 54.0), a still-expansionary but decelerating soft-data print. Per Benzinga, U.S. spot Bitcoin ETFs reportedly logged their worst month ever in June with ~\$4.5B in outflows; against that backdrop, the Wednesday COIN (↑8.93%), HOOD (↑8.35%), IBIT (↑2.13%), and ETHA (↑2.52%) prints per the data drop reportedly read as an early-July relief bid. Carson's SPY support at \$645.80 remains active, well-removed from the Wednesday intraday low \$742.38 per the data drop. *Avoid Erosion.*

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